Charting a Company's Direction

Vision, Mission, Objectives, and Strategy

By the end of this session, Students should be able to appreciate

1. Why company managers must have a clear strategic vision of where a company needs to head and why.
2. The importance of setting both strategic and financial objectives
3. Why must the strategic initiatives taken at various organizational levels be tightly coordinated to achieve companywide performance targets
4. What a company must do to achieve operating excellence and to execute its strategy proficiently.
5. The role and responsibility of a company's board of directors in overseeing the strategic management process.

Charting a Company’s Direction

Charting a Company’s Direction” refers to the process of defining where a company is headed and how it plans to get there.

It’s a core part of strategic management and includes four key components: vision, mission, objectives, and strategy

Essence of Strategy making and execution process

It implies

developing a strategic vision, a mission statement, and a set of core values of the company.

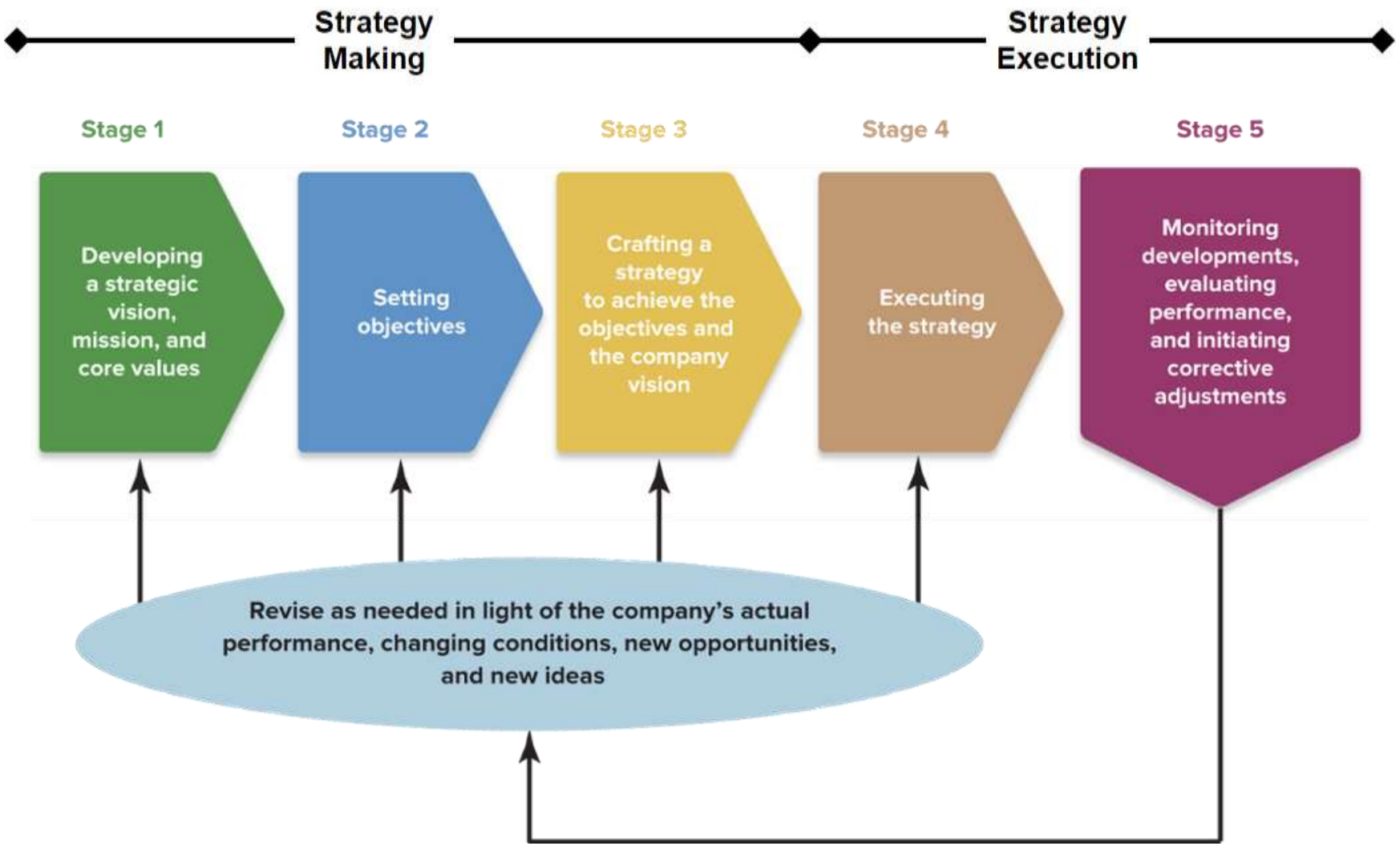
Setting objectives, tracking their progress, and measuring the firm's performance.

Crafting a strategy to move the firm along its strategic course and achieve its objectives

It requires executing the chosen strategy efficiently and effectively

Monitoring developments, evaluating performance, and initiating corrective adjustments where necessary.

Steps to Strategy-Making and Execution Process



Jump to Appendix 1 long image description

© McGraw-Hill Education.

Setting a Strategic Vision, Mission Statement, and Core Values

- Developing a strategic vision
  - ✓ Delineates management's aspirations for the firm to its stakeholders
  - ✓ Provides direction: "where we are going."
  - ✓ Sets out the compelling rationale (strategic soundness) for the firm's direction
  - ✓ Uses *distinctive* and *specific* language to set the firm apart from its rivals
  - ✓ "A **strategic vision ought to describe management's aspirations for the company's future, and the course of direction charted to achieve them"**

Masterpiece of a Vision Statement requirements

Be	Be	Keep	Have
Be graphic. Paint a clear picture of where the company is headed and the market position(s) the company is striving to stake out.	Be forward-looking and directional. Describe the strategic course that will help the company prepare for the future.	Keep it focused. Focus on providing managers with guidance in making decisions and allocating resources.	Have some wiggle room. Language that allows some flexibility allows the directional course to be adjusted as market, customer, technology circumstances change.

Masterpiece of a Vision Statement requirements

- **Be sure the journey is feasible. The path and direction should be within the realm of what the company can accomplish; over time, a company should be able to demonstrate measurable progress in achieving the vision.**
- **Indicate why the directional path makes good business sense.** The directional path should be in the long-term interests of stakeholders, especially shareowners, employees, and suppliers.
- **Make it memorable.** To give the organization a sense of direction and purpose, the vision needs to be easily communicated. Ideally, it should be reducible to a few choice lines or a memorable “slogan.”

Examples of Strategic Visions—How Well Do They Measure Up?
(2 of 2)

Vision Statement	Effective Elements	Shortcomings
Keurig Become the world's leading personal beverage systems company.	• Focused • Flexible • Makes good business sense	• Not graphic • Lacks specifics • Not forward-looking
Nike NIKE, Inc. fosters a culture of invention. We create products, services and experiences for today's athlete* while solving problems for the next generation. *If you have a body, you are an athlete.	• Forward-looking • Flexible	• Vague and lacks detail • Not focused • Generic • Not necessarily feasible

© McGraw-Hill Education.

What to avoid in a Vision Statement

Don’t be

Don’t be vague or incomplete:NNever skimp on specifics about where the company is headed or how the company intends to prepare for the future.ure.

Don’t dwell on

Don’t dwell on the present. A vision is not about what a company once did or does now; it’s about “where we are going.”

Don’t use

Don’t use overly broad language. All-inclusive language that gives the company license to pursue any opportunity must be avoided.

Don’t state

Don’t state the vision in bland or uninspiring terms. The best vision statements have the power to motivate company personnel and inspire shareholder confidence about the company’s future.

What to avoid in a Vision Statement

1

Don’t be generic. A vision statement that could apply to companies in any of several industries (or to any of several companies in the same industry) is not specific enough to provide any guidance.

2

Don’t rely on superlatives. Visions that claim the company’s strategic course is one of being the “best” or “most successful” usually lack specifics about the path the company is taking to get there.

3

Don’t run on and on. A vision statement that is not short and to the point will tend to lose its audience.

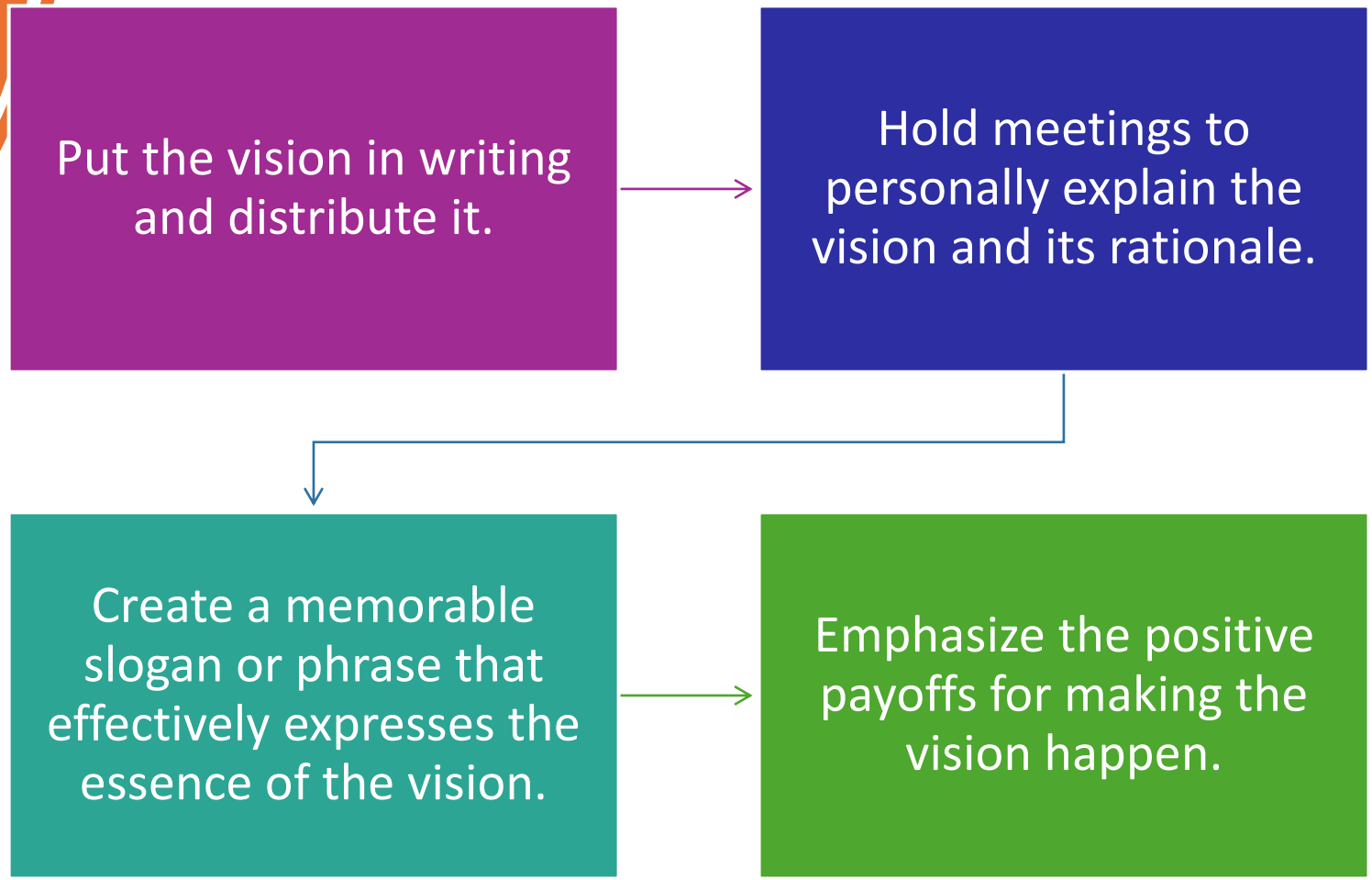
Rationale for communicating the Strategic Vision

- Fosters employee commitment to the firm's chosen strategic direction
- Ensures understanding of its importance
- Motivates, informs, and inspires internal and external stakeholders
- Demonstrates top management support for the firm's future strategic direction and competitive efforts

Important to note is that

An effectively communicated vision is a valuable management tool for enlisting the commitment of company personnel to engage in actions that move the company forward in the intended direction.

Execution of the Strategic Vision



Significance of effective communication

- ✓It crystallizes senior executives' own views about the firm's long-term direction.
- ✓It reduces the risk of rudderless decision making.
- ✓It is a tool for winning the support of organization members to help make the vision a reality.
- ✓It provides a beacon for lower-level managers in setting departmental objectives and crafting departmental strategies that are in sync with the firm's overall strategy.
- ✓It helps an organization prepare for the future.

Strategic Mission Statement

What is a mission statement ?

- A mission statement is a brief paragraph that explains a company's present-day purpose—why it exists and what it does daily.

  It describes the organization's core activities, who it serves, and the value it aims to deliver.

  Unlike a vision statement, which focuses on the future, a mission statement is grounded in the company's current role and responsibilities.

  It helps employees understand their shared purpose, guides decision-making, and communicates to customers and stakeholders what the organization stands for and what it seeks to provide right now

Appropriate Mission Statement

- ✓Identifies the firm's product or services
- ✓Specifies the buyer needs it seeks to satisfy
- ✓Identifies the customer groups or markets it is endeavouring to serve
- ✓Specifies its approach to pleasing customers
- ✓Sets the firm apart from its rivals
- ✓Clarifies the firm's business to stakeholders

Co-existence of Mission and Vision with Core-values

Core values

Are the beliefs, traits, and behavioral norms that employees are expected to display in conducting the firm’s business and in pursuing its strategic vision and mission

Become an integral part of the firm’s culture and what makes it tick when strongly espoused and supported by top management

Match the firm’s vision, mission, and strategy, contributing to the firm’s business success

Patagonia, Inc.: A Values-Driven Company

Step2: Setting Objectives

- The purposes of setting objectives
- To convert the vision and mission into specific, measurable, challenging and timely performance targets
- To focus efforts and align actions throughout the organization
- To serve as yardsticks for tracking a firm's performance and progress
- To provide motivation and inspire employees to greater levels of effort

Vision and Mission – Specific Performance

- **The Principle is that:**
- **Objectives** are an organization's performance targets—the specific results management wants to achieve.
- **Stretch objectives** set performance targets high enough to *stretch* an organization to reach its full potential and deliver the best possible results.
- A company exhibits **strategic intent** when it relentlessly pursues an ambitious strategic objective, concentrating the full force of its resources and competitive actions on achieving that objective.

Features of Strategic Intent

Indicates firm's intent to making quantum gains in competing against key rivals and to establishing itself as a winner in the marketplace, often against long odds.

Involves establishing a grandiose performance target out of proportion to immediate capabilities and market position, but then devoting the firm's full resources and energies to achieving the target over time.

Entails sustained, aggressive actions to take market share away from rivals and achieve a much stronger market position.

Significance of setting Objectives

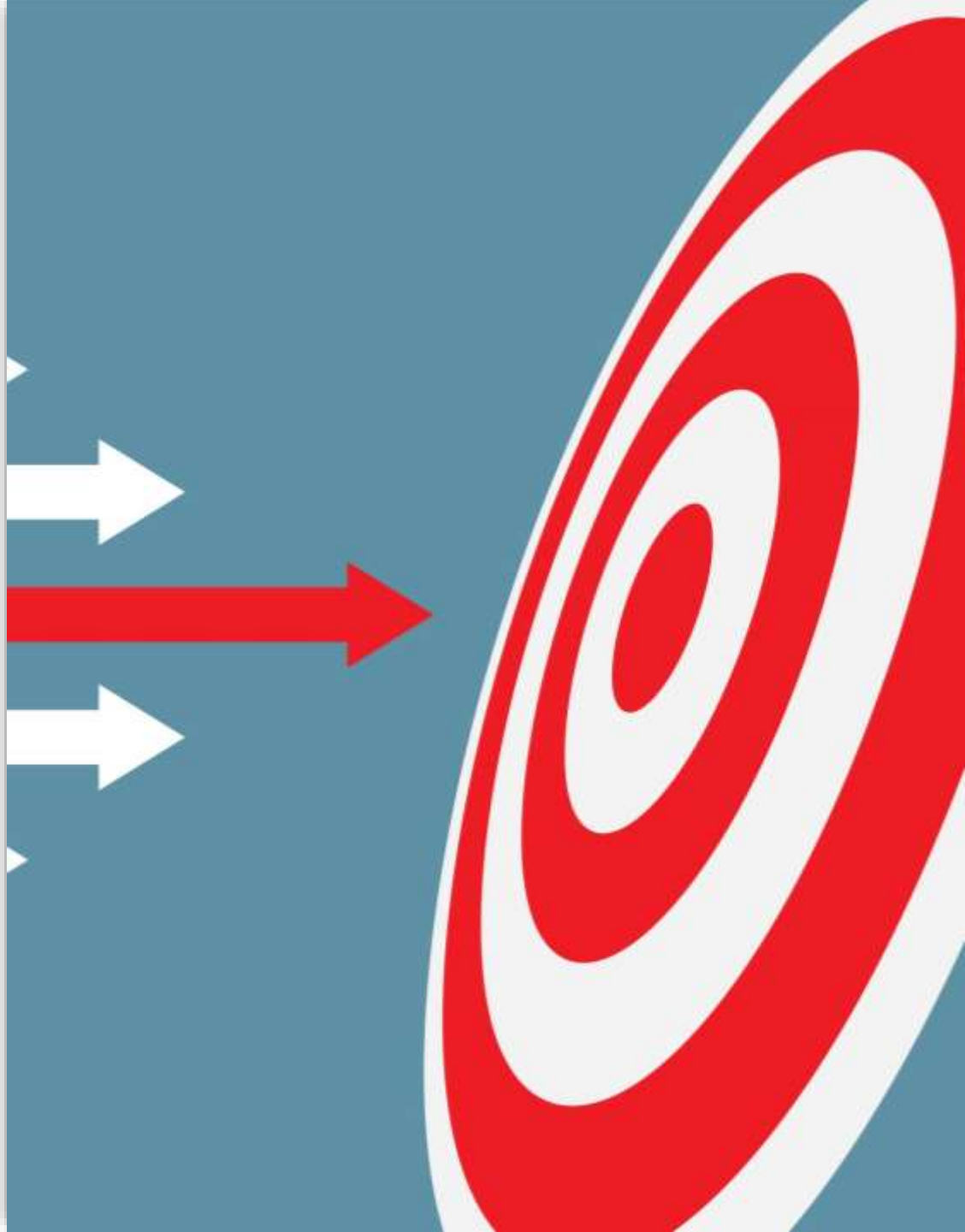
- Setting stretch objectives promotes better overall performance because stretch targets:
  - Push a firm to be more inventive.
  - Increase the urgency for improving financial performance and competitive position.
  - Cause the firm to be more intentional and
    focused on its actions.
  - Act to prevent internal inertia and contentment with modest to average gains in performance.

Short and Long-term Objectives

Short-Term Objectives:	Focus attention on quarterly and annual performance improvements to satisfy near-term shareholder expectations.
Long-Term Objectives:	Force consideration of what to do now to achieve optimal long-term performance. Stand as a barrier to an undue focus on short-term results.

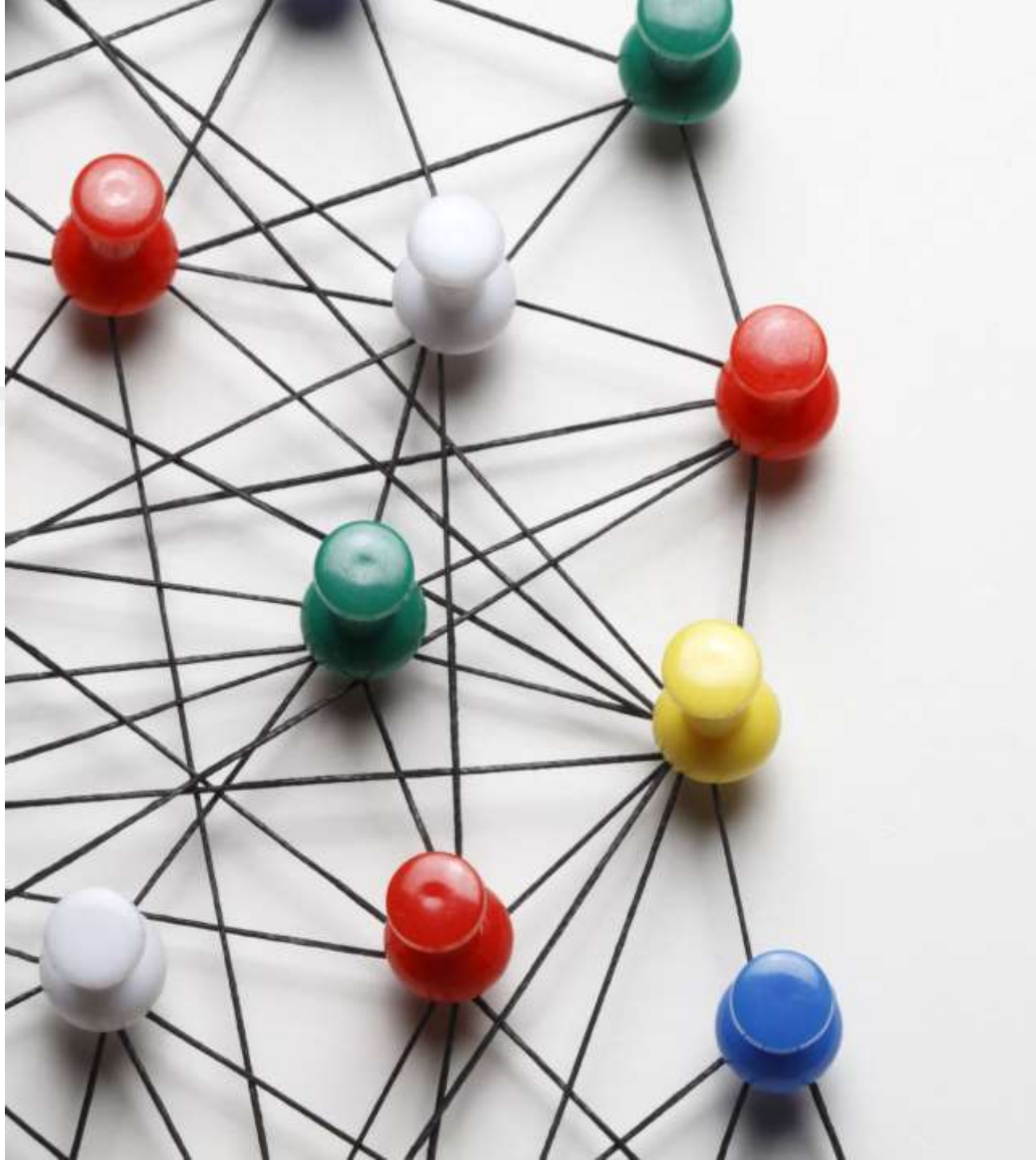
Core concept is that:

- **Financial objectives** relate to the financial performance targets management has established for the organization to achieve.
- **Strategic objectives** relate to target outcomes that indicate a company is strengthening its market standing, competitive position, and future business prospects.



Aim

- The **Balanced Scorecard** is a widely used method for combining the use of both strategic and financial objectives, tracking their achievement, and giving management a more complete and balanced view of how well an organization is performing.



Good strategic Performance is an assurance to better financial Performance

- Good financial performance is not enough:
  - ✓Current financial results are lagging indicators of past decisions and actions which do not translate into a stronger competitive capability for delivering better financial results in the future.
  - ✓Setting and achieving stretch strategic objectives signals a firm's growth in both competitiveness and strength in the marketplace.
  - ✓Good strategic performance is a leading indicator of a firm's increasing capability to deliver improved future financial performance.

End of Session